ANET / NYSE / FULL DEEP DIVE / 15 OCTOBER 2026

ARISTA NETWORKS

Software discipline in a bandwidth supercycle

Arista has a credible route from cloud switching into scale-out, scale-across and custom-accelerator scale-up. The investable advantage is qualified system execution and operational software. Ethernet demand alone does not confer exclusive profit capture.

Research snapshot	Current active case
Coverage status	New coverage / Watchlist; ownership not asserted
Classification	BENEFICIARY with a durable software and systems moat
Analytical Base	68% / raw 41/60
Share snapshot	$185.58, October 15, 2026 close,16: 00 EDT
Dated basic shares / implied equity value	1,261.224648 million shares at July 30, 2026 / $234.058 billion
Active ceiling	$134.09 per diluted share / Q4 2027
Valuation window	Q4 2027 + Q1 2028 + Q2 2028 + Q3 2028
Method	20x GAAP forward-four-quarter OP / average diluted shares
Latest reported quarter	Q2 2026; Q3 results scheduled November 3
Framework	v 8.0; current-source research through October 15, 2026

The three claims that matter

1. Execution is scarce. Reliable fabrics protect expensive accelerator time. EOS, diagnostics and repeat qualification give Arista more leverage than an undifferentiated box assembler.

2. Capture is contested. Broadcom silicon is shared. Meta uses alternative ASICs under FBOSS; Nvidia and Cisco offer qualified systems and tighter integration.

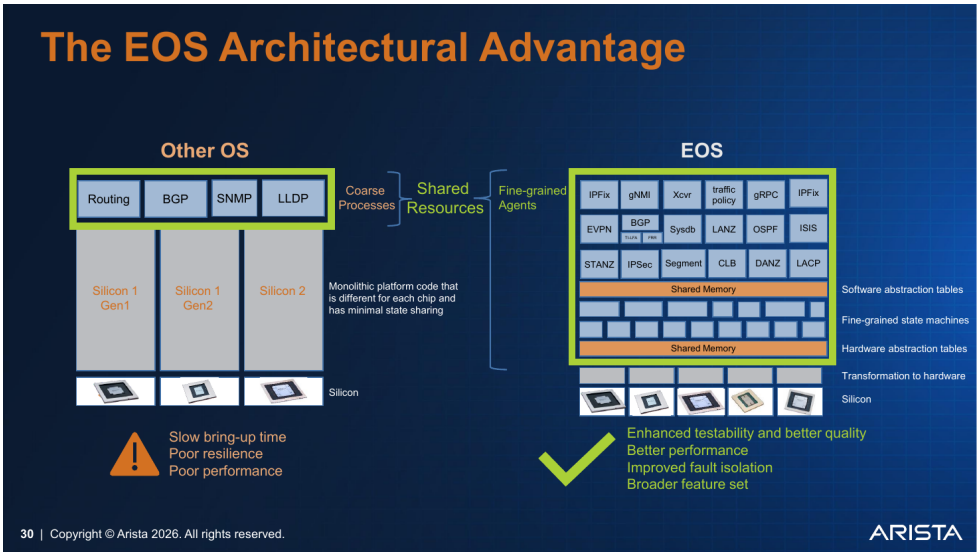
3. The forecast has a cost. The model includes stock compensation, dilution, component costs, competitive loss and a qualified-program ramp. It does not value broad AI capex as Arista revenue.

All model tables use USD millions unless stated. Presentation rounding does not replace exact linked calculations. Header market value uses a dated basic count; valuation uses future diluted averages. [M, S01, S03, S31]

THESIS / QUALIFICATION AND OPERATIONS

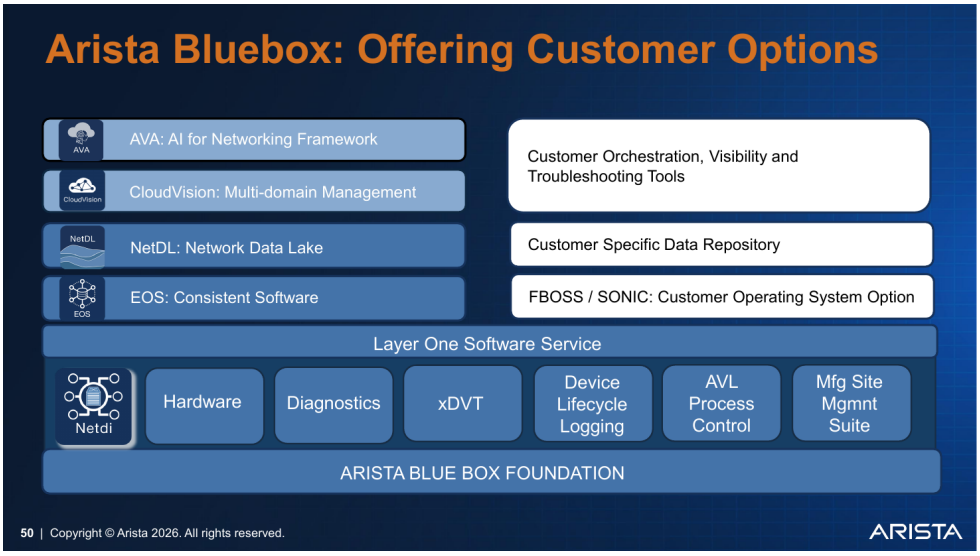
Why the software matters

When a fabric stalls, accelerator utilization and job completion suffer. Customers therefore buy predictable operation over a full system life: validated hardware, stable software, telemetry, controlled changes and engineers who understand failure modes. The moat is accumulated operational trust and switching cost.



EOS state-sharing architecture, February 2026 investor presentation p 30. Conceptual vendor comparison, not an independent benchmark proving every competing NOS is monolithic.

EOS shares state between modular processes and abstracts hardware generations. That supports fault isolation and faster bring-up. CloudVision adds network-wide change control and observability; its subscriptions are separate from base EOS and perpetual feature licenses. AVD automation is open source, with separately purchasable support. Software capability does not imply every shipped switch carries a full paid stack. [S16-S18]



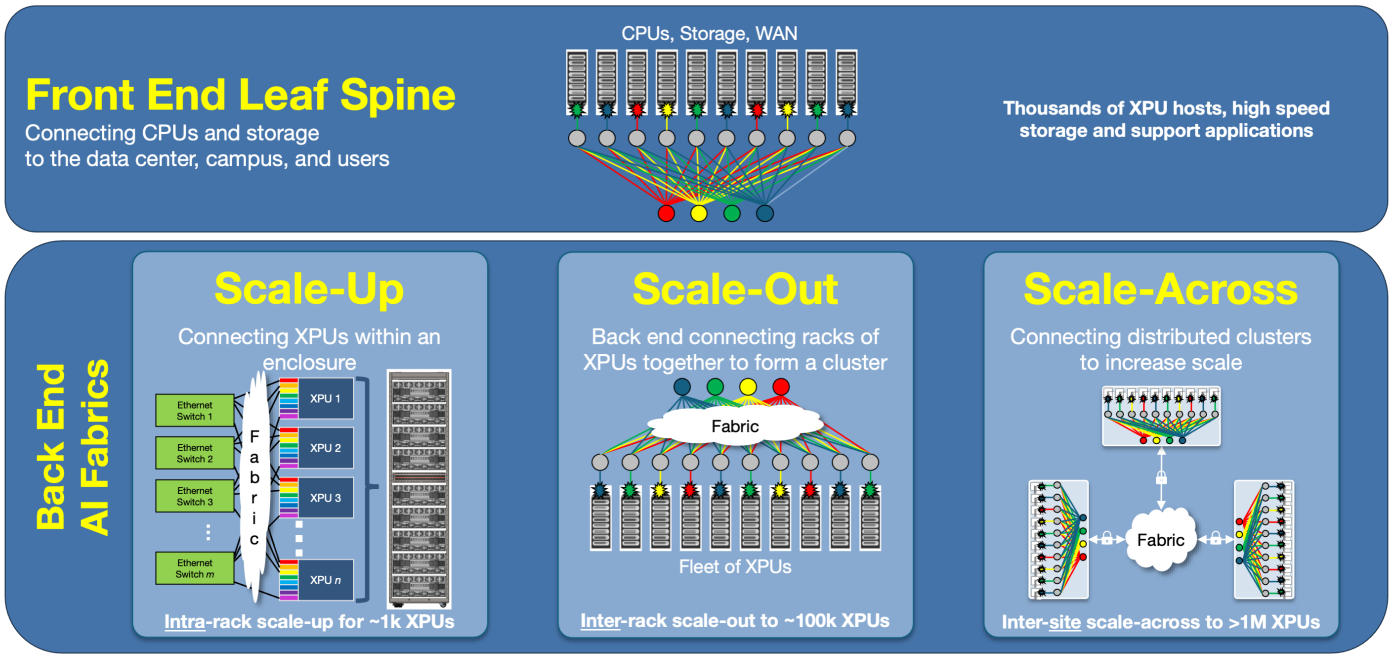
Arista Bluebox can support EOS or customer FBOSS/SONiC above common hardware and diagnostics. February 2026 investor presentation p 50. Hardware wins do not imply full CloudVision attach.

The hardware-only path is strategically useful and economically different: FBOSS/SONiC can keep Arista in the system wallet while reducing proprietary software attach. Netdi preserves diagnostics value, but OSPA and competing platform interfaces can reduce switching friction. This prevents an unqualified silicon-monopoly classification. [S12, S18]

PRE-ANALYSIS / AI FABRICS AND TAM EXPANSION

Where Arista sits on the S-curve

Arista participates in the AI infrastructure and optical-bandwidth supercycles. Core cloud switching is established; 800G is in production. 1.6T and custom scale-up are a new qualification wave rather than a mature universal deployment. Campus is an adjacent share-gain engine with different demand and sales cycles.



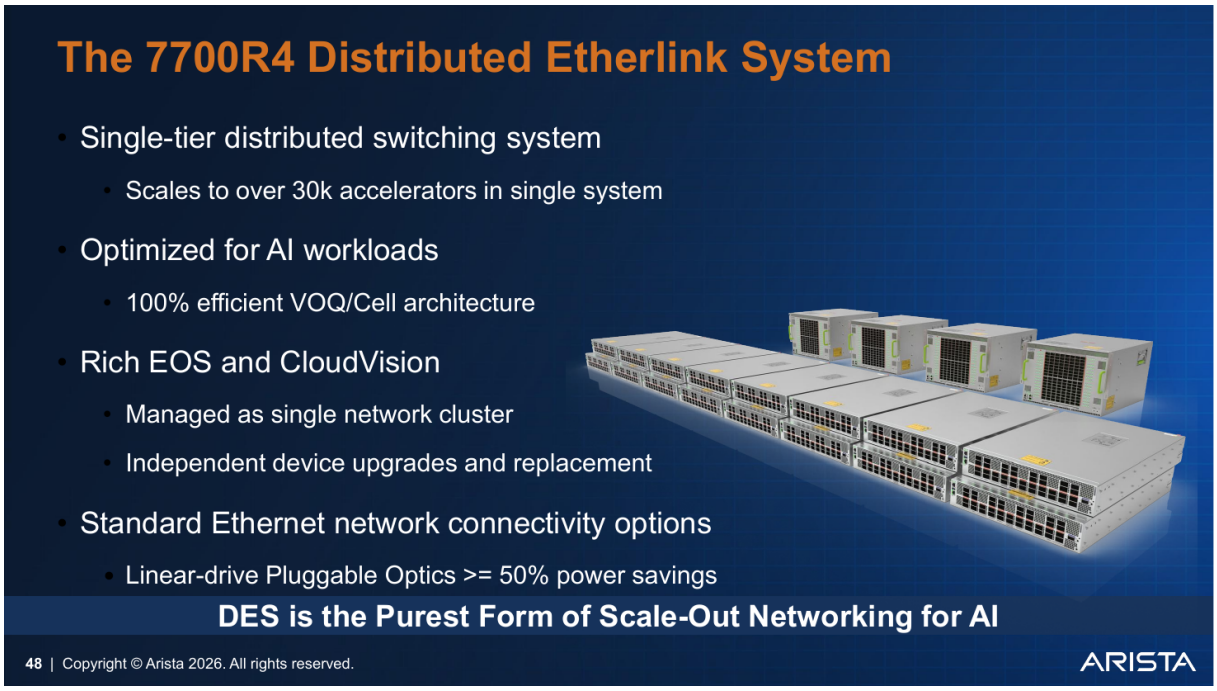
AI fabrics cover distinct frontend, scale-up, scale-out and scale-across roles. Arista schematic dated May 12, 2026; endpoint counts are design capabilities, not disclosed orders.

Layer	Role in the model	Stage / boundary
Scale-out	Interconnect servers/racks; keep collective traffic balanced	Production; new speed transitions increase wallet and complexity
Scale-across	Route synchronized workloads between facilities	Expanding; physical distance and site readiness still constrain
Scale-up	Custom-accelerator rack/pod interconnect	Early qualification; transport and endpoint support required
Campus / enterprise	Client-to-cloud switching, automation and security	Share-gain opportunity; not hyperscaler AI capex
Physical AI	Incremental cloud/enterprise traffic above reference	Phase 2 residual at 50%; edge device sales not assumed
Ubiquitous compute	Potential further cloud use	Phase 3 proxy fully overlapped; zero separate increment

The TAM expansion lens is substantive but selective: more traffic, denser links and distributed inference increase addressable networking. It does not establish a direct Arista claim on robots, vehicles, space systems or every layer of the optical supply chain. [S01, S33, M]

PRODUCTS / SILICON AND SYSTEM BOUNDARIES

A product portfolio, not one switch



7700R4 Distributed Etherlink System product architecture, February 2026 investor presentation p 48. Up-to-scale/performance claims are platform capabilities, not installed deployment counts.

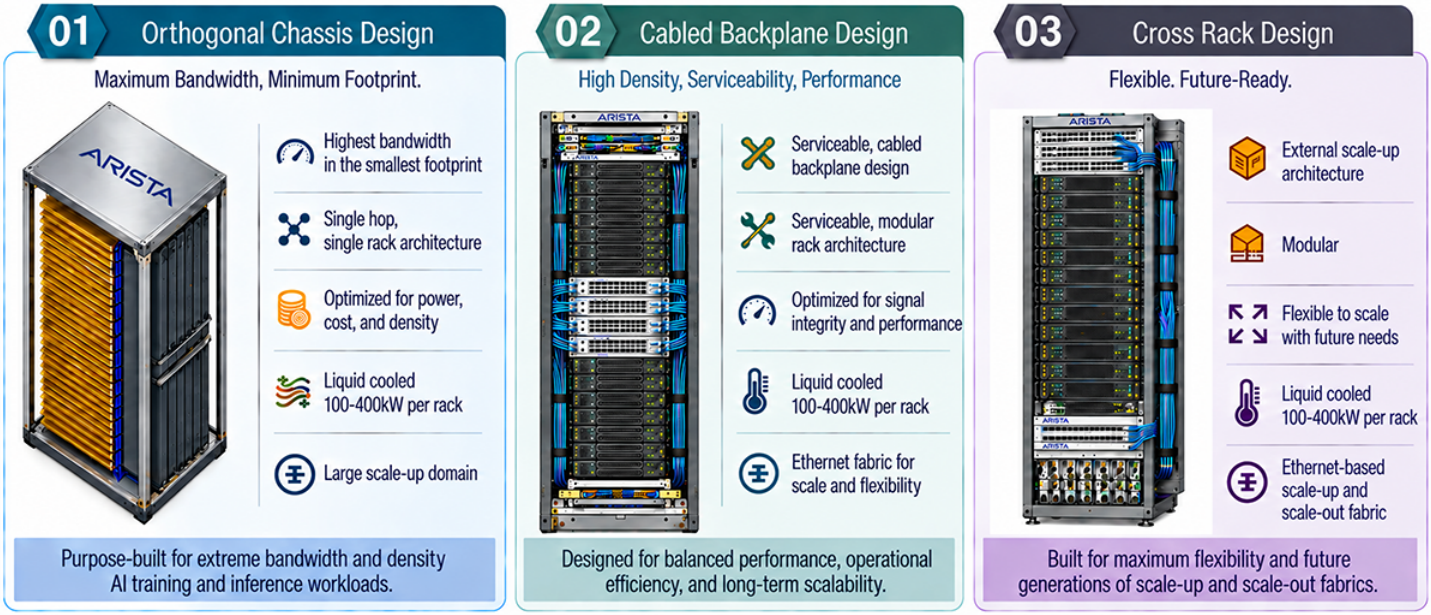
Family / role	Differentiation	What the claim does not establish
7060 fixed leaf/spine	High-radix merchant-silicon systems; 1.6T transition	No published realized ASP or exclusive silicon access
7800AI spine / R4	Modular scale, buffering, routing and availability	Throughput is capacity, not deployed endpoint count
7700R4DES	Distributed scheduled fabric; Meta historical deployment	Not ownership of all Meta AI spending
EOS / CloudVision / Netdi	Operational consistency and diagnostics	No verified universal CloudVision attach
Campus / VeloCloud	Broader branch/client portfolio	Not a separate copy of the AI wallet

Arista controls system design, qualified components and test procedures, while contract manufacturers assemble products. Broadcom switch chips are a critical input; Jabil, Sanmina and Foxconn are primary manufacturing partners. Those supplier revenues overlap the system bill, not additional Arista sales. [S02]

Compare bandwidth on identical definitions: 64 x 1.6Tb/s equals 102.4Tb/s unidirectional; a 204.8Tb/s full-duplex label is not twice the economic capacity. Port breakout, optical module count and switching throughput are different quantities. [S08, S18]

CATALYST / 1.6T AND OPEN RACK-SCALE

The next ramp has dates and gates



Arista announced three liquid-cooled rack-scale architectures October 7, 2026. The image illustrates designs and cooling envelopes; it does not establish customer acceptance or recognized revenue.

Product / milestone	Status as of October 15	Recognition gate
7060XE7 air 64 x 1.6T	Company availability schedule: Q4 2026	Delivery, configuration and customer acceptance
7060XE7 liquid 64 x 1.6T	Company availability schedule: Q1 2027	Thermal/system qualification and acceptance
7060XE7 air 128 x 800G	Company availability schedule: Q1 2027	Qualified deployment and revenue criteria
SU-144 rack architecture	Announced October 7; OCP demonstrations	Named qualified programs; billable content remains unknown
Custom scale-up revenue	Management indicates 2027-28 opportunity	Engineering program is not a purchase award

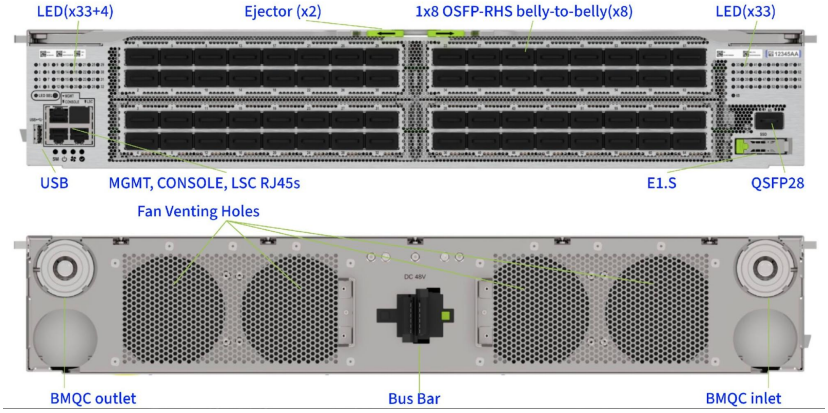
SU-144 supports an announced 144-XPU single-hop domain and up to 1,024 across racks. These are architecture capabilities. The source does not identify accepted volume, rack ASP or shipment timing for a customer production program. [S09, S10]

The active scale-up increment uses six engineering programs, the midpoint of management's five-to-seven opportunities. These may include multiple programs for one customer. Accepted program revenue is a LOW-confidence proxy, not rack price or a count of signed customer awards. [S06, M]

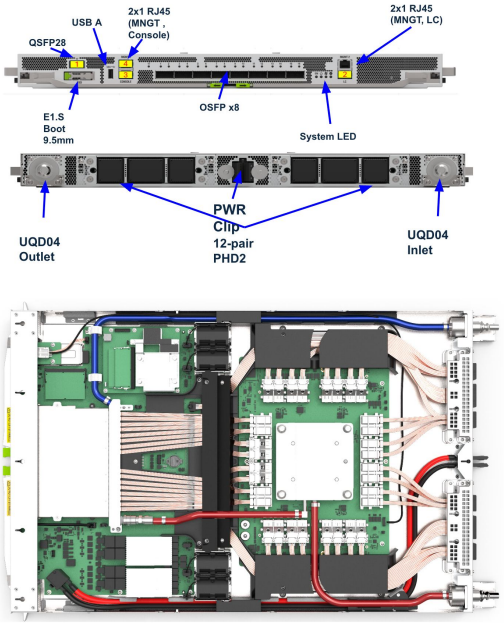
CUSTOMERS / CAPTURE AT THE PLATFORM LAYER

Customer endorsement is not exclusivity

Microsoft identifies 1.6T collaboration for Maia/Fairwater; Meta and Oracle also provide technical support in Arista's release. October partner statements distinguish Meta's scale-out work from Microsoft's scale-up co-design. No quantity, minimum purchase or exclusive share is disclosed. [S08, S11]



Meta IceCube 102.4T blade, October 12, 2026. Customer describes both Tomahawk 6C and Spectrum 6 variants running FBOSS; this source does not identify Arista as the billed systems vendor.

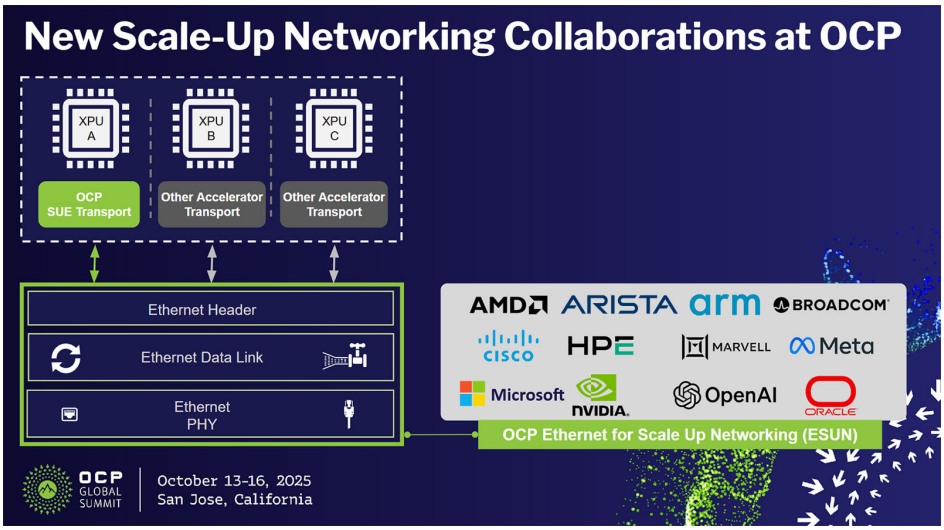


Meta next-generation 102.4T/72-accelerator-per-rack scale-up PREVIEW, October 12, 2026. A future generation is planned to adopt ESUN; do not present as current accepted Arista revenue.

Meta's independent update is the key counter-check: IceCube has both Broadcom and Nvidia variants running FBOSS; the 72-accelerator scale-up blade is a preview. This customer evidence validates open networking while leaving Arista's billed share unresolved. Its timing is not interchangeable with SU-144's announced capability. [S12]

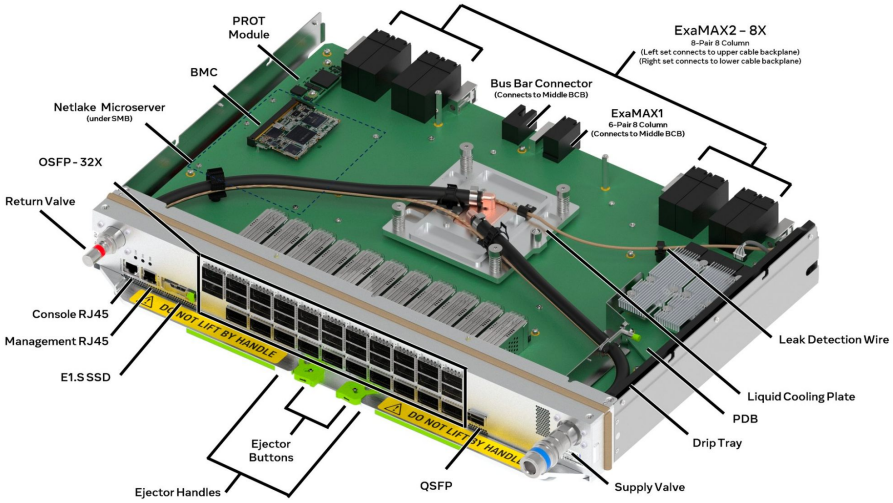
STANDARDS / UEC, ESUN AND ENDPOINT TRANSPORT

Open standards expand the field



ESUN fabric layers are separate from endpoint transport choice. October 13, 2025 schematic; update caption for released ESUN1.0 and UEC1.1 as of October 2026, not an unchanged latest-spec claim.

UEC1.1 was released October 12, 2026, adding scale-up support, transport improvements, in-network collectives, CSIG and programmable congestion management. ESUN1.0 operator requirements are already released; Meta describes ESUN1.1 as forthcoming. They are distinct standards and version paths, with multiple possible upper-layer transports. [S12, S13]

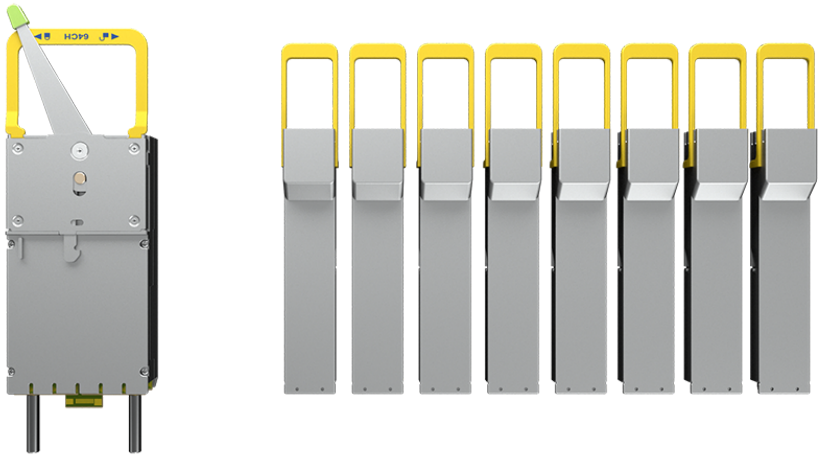


Meta Tahan scale-up switch, October 12, 2026. Customer says shipping today: four 51.2T TH5 switches interconnect 16 MTIA 300 accelerators. No Arista supplier award is stated.

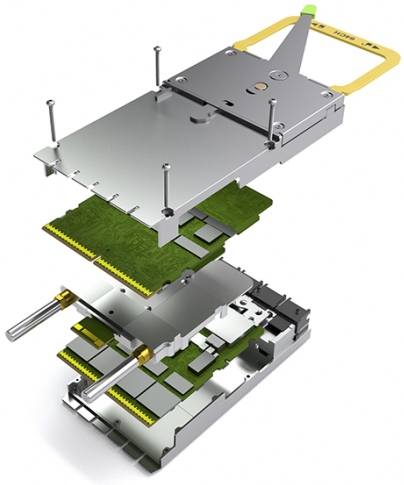
Meta says Tahan is shipping: four 51.2T switches interconnect 16 MTIA 300 accelerators. The source does not identify Arista as its billed supplier. Ethernet adoption has a positive industry implication; the model separately prices the risk of competing platforms winning the system wallet. [S12]

OPTICS / DENSITY AND SELF-CANNIBALIZATION

More bits can mean fewer boxes



Arista compares one 12.8T XPO module with eight OSFP modules, March 11, 2026. Packaging density changes enclosure/component counts, not an automatic 8x increase in billed optical content.



XPO exploded illustration: integrated cold plate and two 32-channel paddle cards. Arista March 11, 2026. Company design illustration; no named qualified customer volume is supplied.

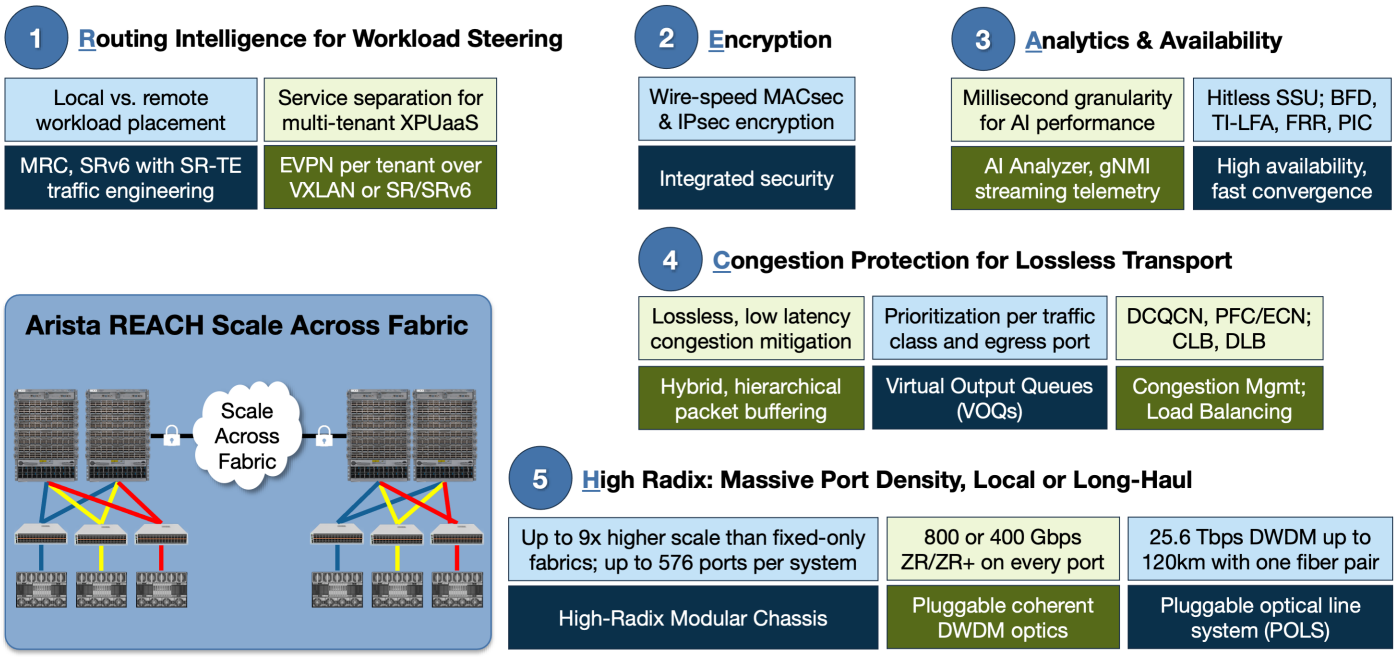
XPO packages 12.8T across 64 channels with native liquid cooling. Arista compares one module with eight OSFPs. Higher density and fewer components can lower installation, cooling and service costs while preserving pluggability. [S14]

This is also a modeling restraint. A higher-radix fabric may eliminate a network tier and reduce switches or transceivers per fixed endpoint count. Growing bandwidth per accelerator and new scale-up domains can offset that reduction; physical rack growth alone is not a valid revenue multiplier.

Arista's hypothetical 400MW/128k-GPU example assumes 12.8T scale-up and 1.6T scale-out bandwidth per GPU. It is a design illustration, not an order. Open CPO/NPO options and XPO are architecture choices, with customer qualification and billed content still needing verification. [S09, S14]

NETWORKING / LATENCY, ROUTING AND RESILIENCY

Scale-across: protect the whole job



REACH toolkit: routing, encryption, analytics, congestion protection and radix. Arista September 22, 2026 technical exhibit; performance is vendor-described and workload dependent.

Scale-across extends the fabric across constrained sites, but it cannot remove propagation delay. Workload placement, reliable buffering, path steering, encryption and fast recovery determine whether a distributed deployment is economically useful. Different parallelism patterns tolerate distance differently.

REACH combines routing, encryption, analytics/availability, congestion protection and high radix. The model gives additional capture 55% probability after 60% overlap with baseline routing/AI growth. This is incremental company economics, not the entire management estimate of a 2030 scale-across market. [S07, S15, M]

Competition reaches this role too. Cisco reports Microsoft P200 production and Alibaba's custom P200/SONiC router; Nvidia reports Ethernet Photonics production. A qualified open platform is not exclusive to Arista. [S20, S21]

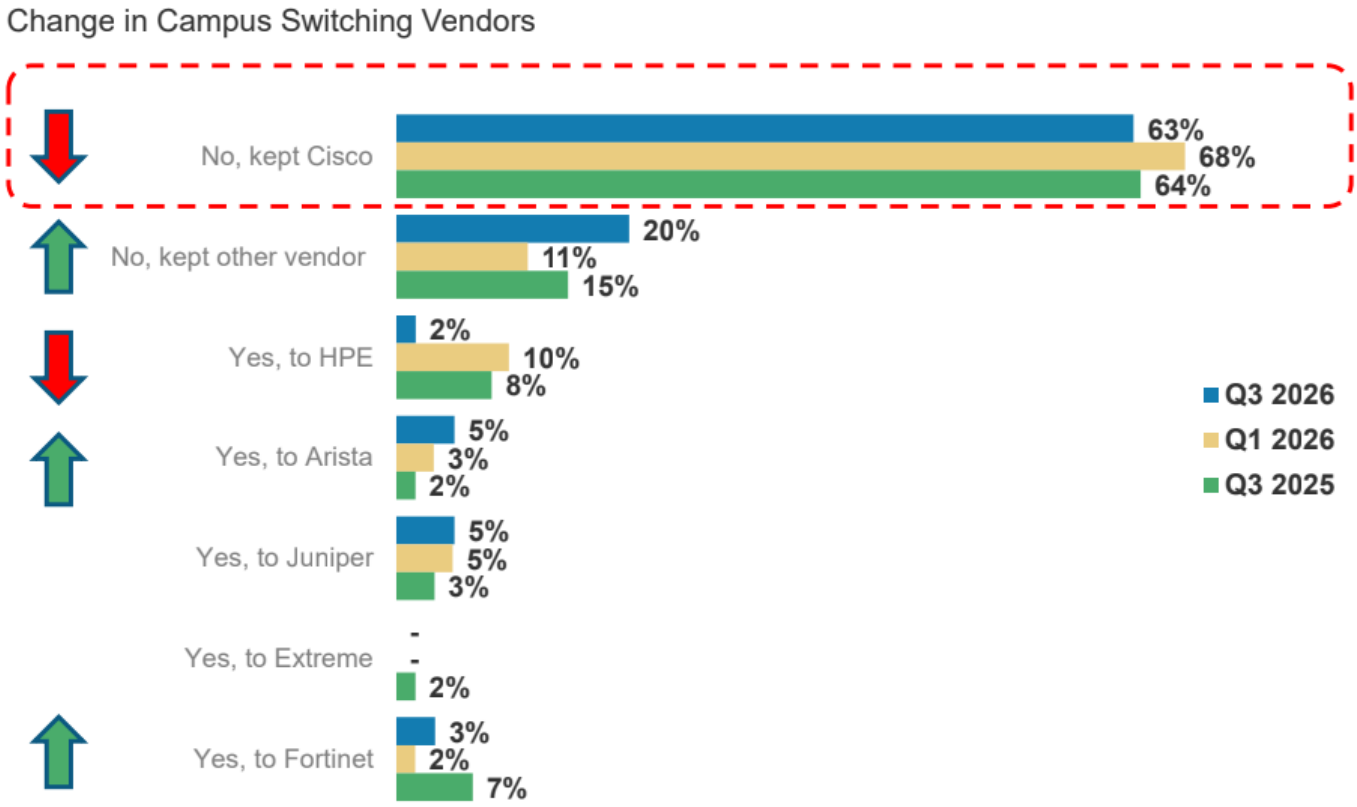
Campus is a separate transmission

The following owner-supplied survey pages add enterprise context. They measure sample intentions and refresh cycles, not hyperscaler awards or market share. Arista's campus goal belongs inside total reference revenue, with no second capex addition. [S23, M]

PRIMARY EVIDENCE / OWNER-SUPPLIED CIO SURVEY

Campus interest is improving, from a small base

Exhibit 112: Cisco Remains the Most Commonly Retained Campus Vendor at 63%, Down from 68%



Source: AlphaWise, Morgan Stanley Research. n=60 (US and EU data)

- **Cisco remains the most commonly retained campus vendor.** 63% of all respondents kept or plan to keep Cisco, versus 68% in 1Q26. Another 20% retain a different incumbent, taking overall vendor continuity to 83% from 79%.
- **Arista attracts modestly greater campus interest.** 5% of CIOs report switching or planning to switch to Arista, compared with 3% previously. Fortinet reaches 3% from 2%. Small response counts warrant caution, while the high overall retention rate supports incumbent stability.

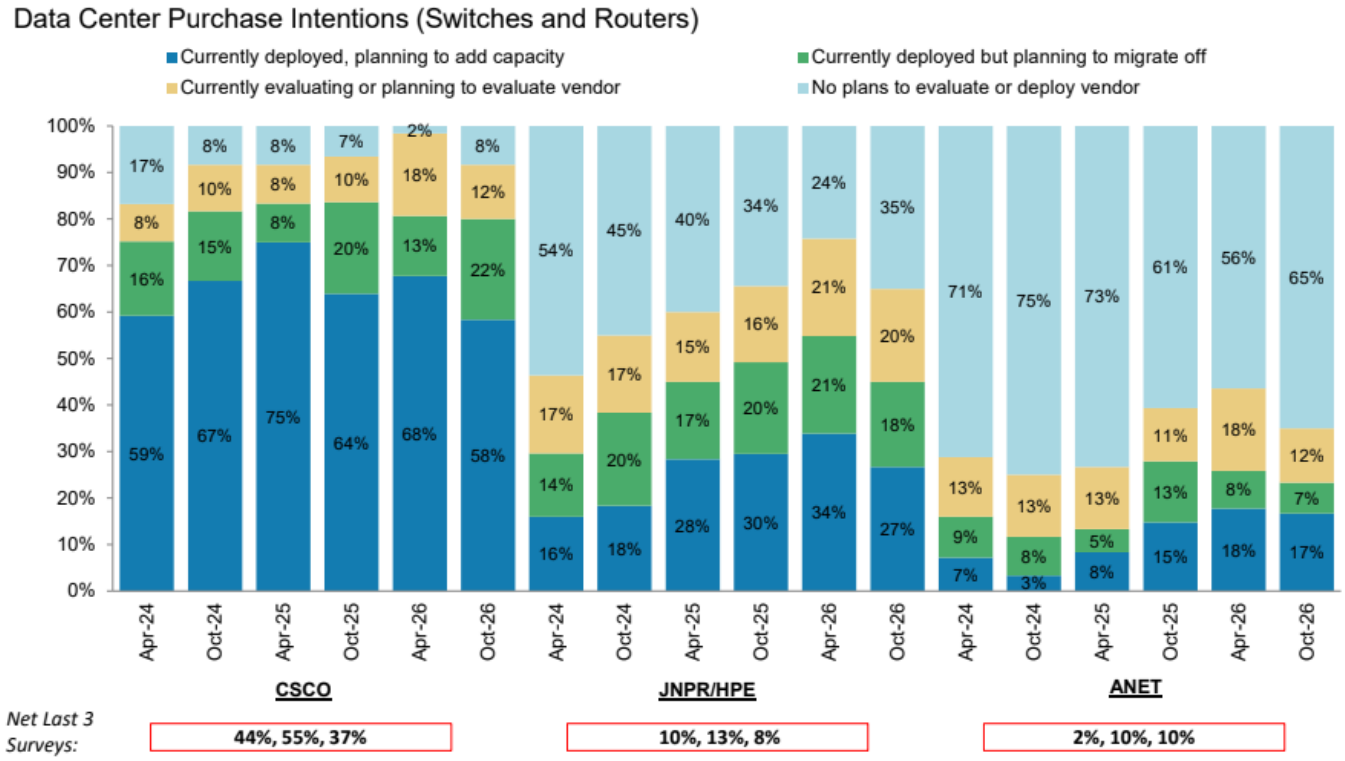
Original Morgan Stanley / AlphaWise exhibit 112, October 12, 2026, p 84, clipped to the chart, source footnote and explanatory text. n=60 US/EU respondents. 5% report switching/planning to switch to Arista versus 3% previously; 63% retain/plan to retain Cisco. These are all-respondent shares, not retention conditional on being a Cisco customer. Full original page retained.

PRIMARY EVIDENCE / OWNER-SUPPLIED CIO SURVEY

Enterprise plans do not prove a hyperscaler win

FOUNDATION

Exhibit 116: Data Center Purchase Intentions Remain Most Positive For CSCO, Although Weakened Sequentially



Source: AlphaWise, Morgan Stanley Research. n=60 (US and EU data)

Original Morgan Stanley / AlphaWise exhibit 116, October 12, 2026, p 87, clipped to the chart and sample/source footnote. Datacenter intention net for Arista is+10%: 17% adding versus 7% migrating. n=60 US/EU respondents. Net intentions are not revenue growth or market share. Full original page, including separate refresh-cycle exhibit 117 (n=62), is retained.

PRIMARY EVIDENCE / SECOND QUARTER 2026

The latest reported financial anchor

ARISTA NETWORKS, INC.
Condensed Consolidated Income Statements
(Unaudited, in millions, except per share amounts)

	Three Months Ended June 30,		Six Months Ended June 30,	
	2026	2025	2026	2025
Revenue:				
Product	$ 2,605.2	$ 1,877.0	$ 4,916.5	$ 3,569.5
Service	430.5	327.8	828.2	640.1
Total revenue	3,035.7	2,204.8	5,744.7	4,209.6
Cost of revenue:				
Product	1,047.5	707.3	2,009.4	1,380.0
Service	77.9	58.9	148.2	114.9
Total cost of revenue	1,125.4	766.2	2,157.6	1,494.9
Gross profit	1,910.3	1,438.6	3,587.1	2,714.7
Operating expenses:				
Research and development	348.2	296.5	691.9	562.9
Sales and marketing	150.3	126.5	291.9	243.1
General and administrative	33.8	29.4	67.5	63.7
Total operating expenses	532.3	452.4	1,051.3	869.7
Income from operations	1,378.0	986.2	2,535.8	1,845.0
Other income (expense), net	126.3	94.0	239.9	190.2
Income before income taxes	1,504.3	1,080.2	2,775.7	2,035.2
Provision for income taxes	291.4	191.4	539.9	332.6
Net income	$ 1,212.9	$ 888.8	$ 2,235.8	$ 1,702.6
Net income per share:				
Basic	$ 0.96	$ 0.71	$ 1.78	$ 1.35
Diluted	$ 0.95	$ 0.70	$ 1.75	$ 1.34
Weighted-average shares used in computing net income per share:				
Basic	1,260.1	1,256.3	1,258.9	1,258.2
Diluted	1,276.0	1,271.2	1,274.9	1,275.2

Issuer Q2 2026 release, August 4, 2026, original p 3 income-statement region rendered directly from the original PDF. USD millions except per-share data. Full original page is retained separately. [S04]

What the current actual supports

Revenue is $3,035.7 million with $1,378.0 million GAAP operating profit. Products supply $2,605.2 million of sales and services $430.5 million. The model uses the disclosed product and service cost streams, rather than assigning an unsupported single gross margin to all revenue. [S04]

Q3 remains unreported on the research date. The forecast is anchored to management's $3.3 billion revenue guidance and 48-49% non-GAAP operating margin. The next page reconciles that basis to a GAAP forecast including stock compensation. [S04, M]

FINANCIAL MODEL / ACTUALS AND ACCOUNTING

Guidance is not GAAP operating profit

USDm unless stated	FY 2025 A	Q1 2026 A	Q2 2026 A
Revenue	9,005.7	2,709.0	3,035.7
Product revenue	7,576.9	2,311.3	2,605.2
Service revenue	1,428.8	397.7	430.5
Gross profit	5,768.7	1,676.8	1,910.3
R&D	1,237.3	343.7	348.2
Sales and marketing	533.4	141.6	150.3
G&A	141.9	33.7	33.8
GAAP operating profit	3,856.1	1,157.8	1,378.0
Diluted shares (m)	1,275.7	1,273.8	1,276.0

Bridge the basis explicitly

USDm	Q2 2026 actual	Q3 2026 model
GAAP operating profit	1,378.0	1,467.8
Add back stock compensation	120.4	130.3
Add back amortization	15.3	15.3
Non-GAAP diagnostic OP	1,513.7	1,613.4
Non-GAAP diagnostic margin	49.86%	48.89%

Q3 guidance is approximately $3.3 billion revenue and 48-49% non-GAAP operating margin. The model anchors that revenue and includes SBC within its GAAP expense rates. Full-year revenue guidance is $12.6 billion; implied Q4 revenue is $3,555.3 million, not separate company guidance. The 2026 modeled non-GAAP diagnostic margin is 48.923%, while the valued result remains GAAP. [S04, S07, M]

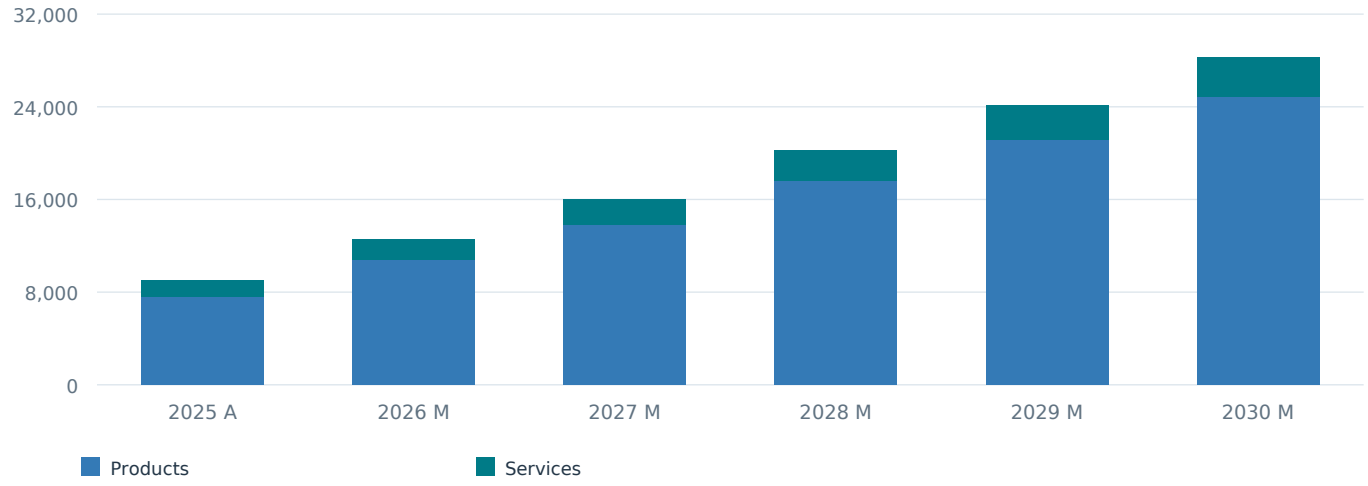
No buyback is assumed merely because authorization remains. The share path increases about 0.9% annually from the guided near-term diluted base. Average future diluted counts, not July basic shares, price each four-quarter window. [S03, M]

MODEL CHART / REVENUE AND MIX

Product economics drive the revenue build

Products remain the engine; services compound with the installed base

USD millions; A=Actual, M=Model (2026 anchored to guidance)



Year / status	Products	Services	Total
2025 Actual	7,576.9	1,428.8	9,005.7
2026 Model	10,812.1	1,787.9	12,600.0
2027 Model	13,788.1	2,187.6	15,975.7
2028 Model	17,610.7	2,629.8	20,240.5
2029 Model	21,129.0	2,966.6	24,095.6
2030 Model	24,875.0	3,408.3	28,283.3

The company discloses one operating segment, with product/service financial detail. That is the defensible decomposition for gross profit. The model does not invent separately reported AI or campus gross margins. Service gross margin is modeled near 82%; product margins are lower and sensitive to mix, silicon/memory costs and new systems.

Long-run service share gradually falls as product deployment scales. A rising 25-30% services-revenue mix is not assumed. CloudVision attach and support economics can help retention without turning the entire system business into a pure software subscription model. [S02, S03, S06, M]

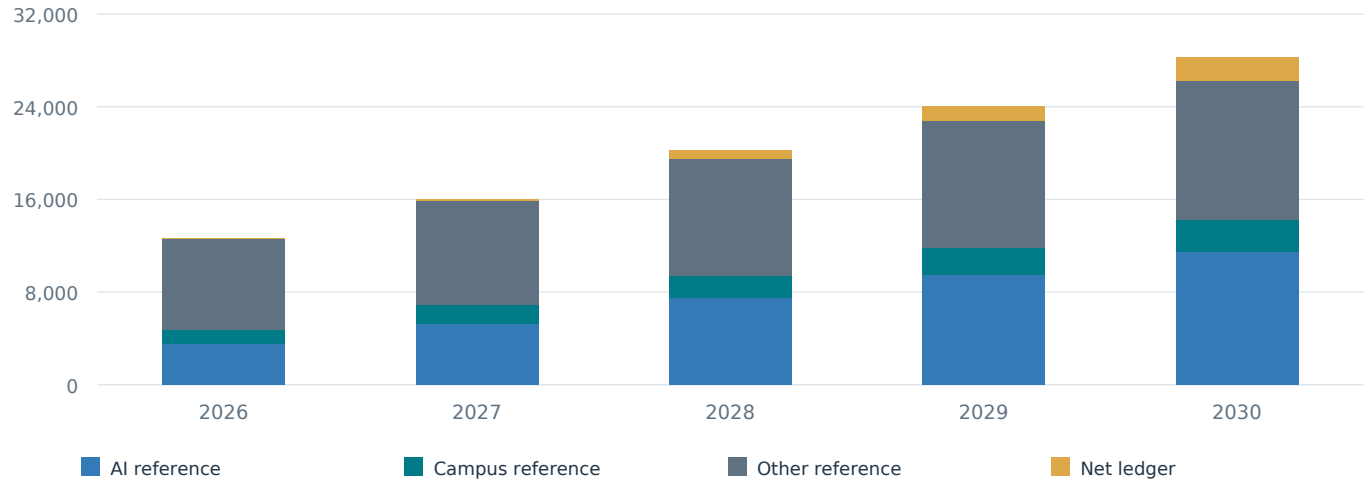
Source: 2025 actual issuer/SEC financials; 2026 combines H1 actuals with H2 guidance-anchored model; 2027-30 are model assumptions. USDm. Exact data: model.annual and chart_data.json.

MODEL CHART / BUSINESS ALLOCATION

Use-case views reconcile to one total

One revenue pool, viewed by modeled use case

USD millions; analytical allocation, not reported segments



Year M	AI reference	Campus ref.	Other ref.	Net ledger	Active total
2026	3,550.0	1,250.0	7,800.0	0.0	12,600.0
2027	5,300.0	1,600.0	8,952.0	123.7	15,975.7
2028	7,500.0	1,950.0	10,030.1	760.4	20,240.5
2029	9,500.0	2,350.0	10,969.8	1,275.8	24,095.6
2030	11,500.0	2,800.0	11,918.1	2,065.3	28,283.3

These are analytical planning allocations of the customer-driven reference revenue, not additional sales and not reported segments. The 2026 AI spine is $3.55 billion between the call's $3.5 billion CFO and $3.6 billion CEO wordings; campus is $1.25 billion. Management did not publish quarterly use-case actuals. [S07, M]

From 2027, AI reference grows to $5.3/$7.5/$9.5/$11.5 billion; campus to $1.6/$1.95/$2.35/$2.8 billion. Those model allocations sit within the calibrated customer reference. The final column adds only the net residual probability ledger once.

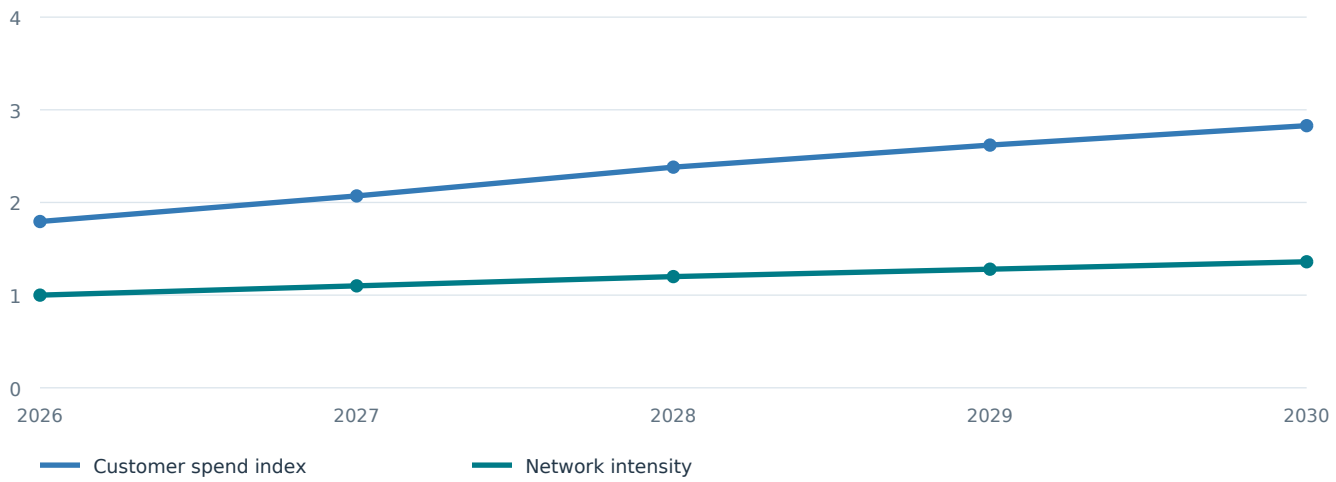
The net ledger combines favorable programs, costs, adverse competitive share and acceptance timing. It is not a second TAM forecast. Price and market share are never imported from analyst targets. [S01, M]

MODEL CHART / CALIBRATED DEMAND BRIDGE

Capex is an index, not a sales invoice

Normalize the customer budgets before inferring a networking wallet

Index; customer spend base CY2025=1; intensity base CY2026=1



Year	MSFT cash proxy $bn	Meta incl. leases $bn	Spend index	Intensity	Reference sales $m
2026	140.00	137.50	1.794	1.00	12,600.0
2027	160.00	160.00	2.070	1.10	15,852.0
2028	184.00	184.00	2.381	1.20	19,480.1
2029	202.40	202.40	2.619	1.28	22,819.8
2030	218.59	218.59	2.829	1.36	26,218.1

CY2025 Microsoft cash PP&E=$64.551bn-$30.727bn+$49.270bn=$83.094bn. Meta's 2025$72.22bn includes finance-lease principal. Each series is normalized to its own base before equal weighting; unlike dollar scopes are not pooled into one market. [S25-S28]

2026 Microsoft cash $140bn is a modeled proxy, not its $175bn reported capex measure. The previous $190bn changed through finance/operating lease classification; management said underlying investment expectations were unchanged. It is not a $15bn demand cut. [S24, M]

Reference calibration: 2025 revenue $9,005.7m x 42% two-customer group x spend index x network intensity x 0.7797235207154172 joint retention, plus other customers. 2026 retains the 42% allocation as an assumption and calibrates to $12.6bn. Budgets/capture after 2026 are LOW-confidence inputs, not guidance.

MODEL TABLE / 18 CALENDAR QUARTERS

The full quarterly operating spine

Fiscal and calendar periods coincide. Q3/Q4 2026 are guidance-anchored models; subsequent quarters are modeled. The exact product/service and cost builds remain in the model. No period below is labeled an actual result. USDm; shares in millions. [M]

Quarter	Status	Revenue	GAAP OP	OP%	Diluted sh.	Main driver / confidence
Q3 2026	G/M	3,300.0	1,467.8	44.5%	1,279.00	Guide anchor / acceptance / MEDIUM
Q4 2026	G/M	3,555.3	1,587.4	44.6%	1,282.00	Guide anchor / acceptance / MEDIUM
Q1 2027	Model	3,537.8	1,603.0	45.3%	1,284.87	1.6T + qualified programs / LOW-MEDIUM
Q2 2027	Model	3,859.4	1,748.7	45.3%	1,287.76	1.6T + qualified programs / LOW-MEDIUM
Q3 2027	Model	4,181.0	1,894.5	45.3%	1,290.64	1.6T + qualified programs / LOW-MEDIUM
Q4 2027	Model	4,397.6	1,987.7	45.2%	1,293.54	1.6T + qualified programs / LOW-MEDIUM
Q1 2028	Model	4,534.8	2,088.1	46.0%	1,296.44	Scale-across + accepted ramps / LOW-MEDIUM
Q2 2028	Model	4,832.5	2,220.6	46.0%	1,299.35	Scale-across + accepted ramps / LOW-MEDIUM
Q3 2028	Model	5,235.2	2,405.7	46.0%	1,302.26	Scale-across + accepted ramps / LOW-MEDIUM
Q4 2028	Model	5,637.9	2,590.7	46.0%	1,305.18	Scale-across + accepted ramps / LOW-MEDIUM
Q1 2029	Model	5,301.0	2,444.1	46.1%	1,308.11	Reference demand + program scale / LOW-MEDIUM
Q2 2029	Model	5,782.9	2,666.3	46.1%	1,311.04	Reference demand + program scale / LOW-MEDIUM
Q3 2029	Model	6,264.9	2,888.5	46.1%	1,313.98	Reference demand + program scale / LOW-MEDIUM
Q4 2029	Model	6,746.8	3,110.7	46.1%	1,316.93	Reference demand + program scale / LOW-MEDIUM
Q1 2030	Model	6,222.3	2,862.2	46.0%	1,319.88	Mature wallet / slower growth / LOW-MEDIUM
Q2 2030	Model	6,788.0	3,122.4	46.0%	1,322.84	Mature wallet / slower growth / LOW-MEDIUM
Q3 2030	Model	7,353.7	3,382.6	46.0%	1,325.81	Mature wallet / slower growth / LOW-MEDIUM
Q4 2030	Model	7,919.3	3,642.8	46.0%	1,328.78	Mature wallet / slower growth / LOW-MEDIUM

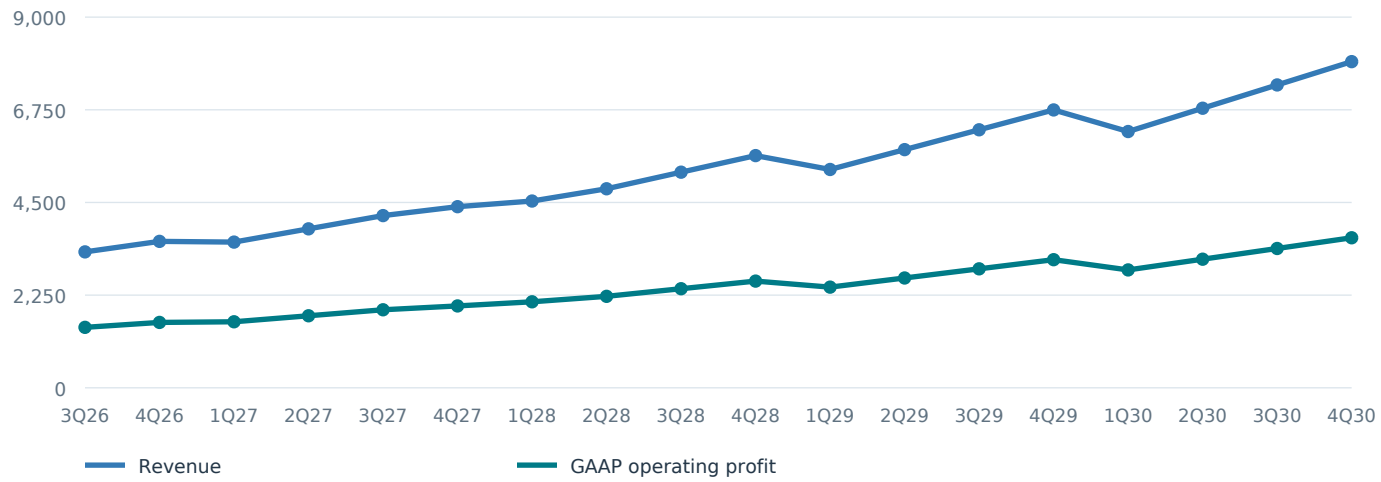
G/M=guidance-anchored model. Annual seasonality is assumed; no quarterly AI use-case actuals were disclosed. The $105m acceptance shift moves Q4 2027 receipts into Q1 2028. Exact costs and signals are in model.quarters[quarter].

MODEL CHART / QUARTERLY REVENUE AND PROFIT

Growth has a recognition rhythm

Recognition grows; seasonal and acceptance effects remain visible

USD millions; all quarters here are Model, not reported actuals



Reference assumptions	2026 H2	2027	2028	2029	2030
Product gross margin	59.3% to 59.5%	59.6%	60.0%	60.0%	60.0%
Service gross margin	82.0%	82.0%	82.0%	82.0%	82.0%
Reference service share	14.0%	13.8%	13.5%	13.0%	13.0%
R&D / reference revenue	11.85%	11.30%	11.00%	10.80%	10.80%
Sales/marketing / ref.rev.	5.0%	4.9%	4.8%	4.7%	4.7%
G&A / reference revenue	1.15%	1.10%	1.05%	1.00%	1.00%
Extra pricing eligible share	0%	35%	50%	55%	60%

The reference cost ratios include stock compensation. Incremental program costs are added separately; competition removes product costs and limited variable expenses as revenue is lost. Pricing deducts extra chip/memory/expediting and commercial costs before contributing profit. All percentages above are modeling assumptions after the actual/guide anchor. [M]

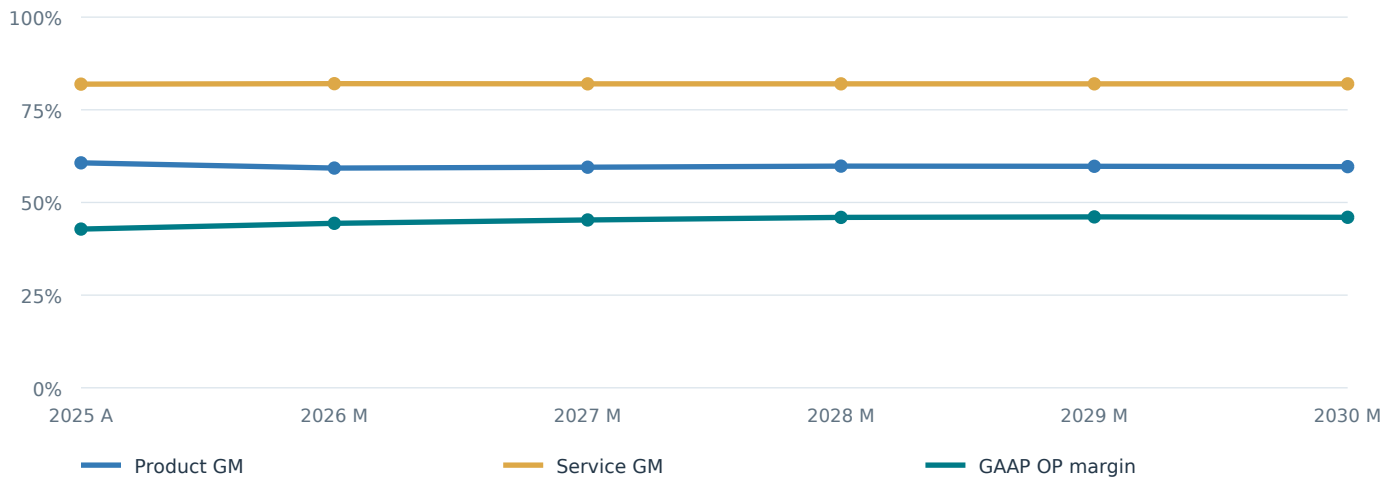
The plot uses the exact 18-quarter table on the preceding page. Seasonal declines do not automatically mean a demand cut, and a shipment is not recognized before its applicable acceptance criteria.

MODEL CHART / GROSS PROFIT TO OPERATING PROFIT

Margins are built, not asserted

Separate product and service margins; include operating costs

Percent of the corresponding revenue denominator



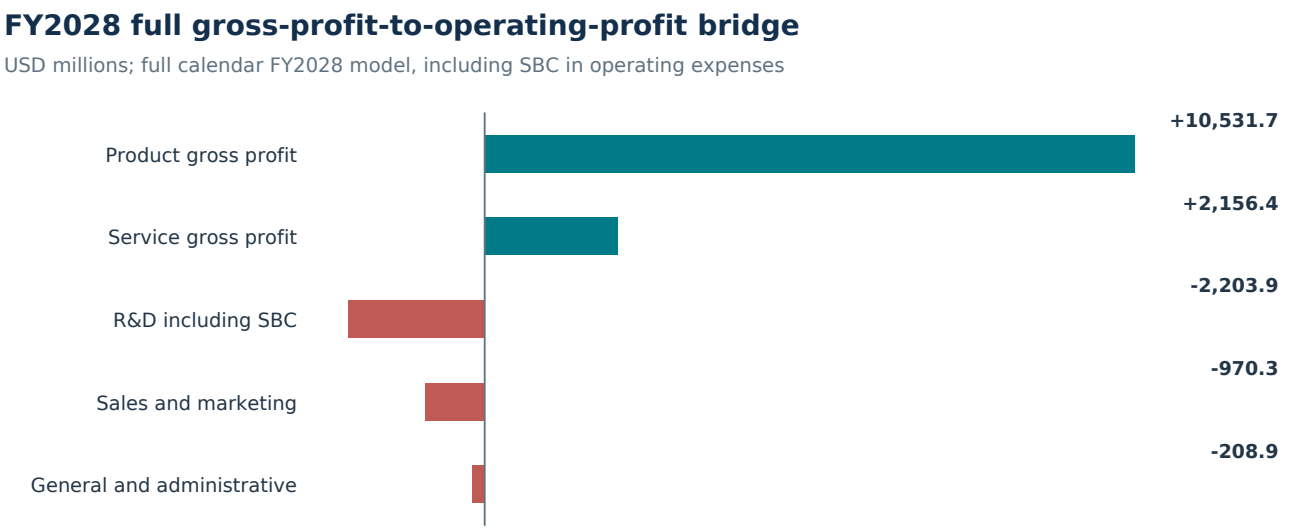
Year	Product GM	Service GM	GAAP OP margin
2025 A	60.69%	81.92%	42.82%
2026 M	59.28%	82.05%	44.37%
2027 M	59.51%	82.00%	45.28%
2028 M	59.80%	82.00%	45.97%
2029 M	59.76%	82.00%	46.11%
2030 M	59.67%	82.00%	46.00%

Incremental scale-up begins below core product margins because integration, support and qualification consume resources. Scale-up incremental gross margin is 52% in 2027,54% in 2028 and 55% thereafter, less 15% incremental operating expense. Scale-across uses 58% gross margin and 10% operating expense. [M]

The annual chart blends the explicitly modeled product vectors only after their costs are calculated; service profit remains separate. Operating leverage is limited by engineering requirements and ongoing product support. There is no extra valuation uplift for margin improvement already present in the operating build.

MODEL CHART / FY 2028 EXAMPLE

A visible cost bridge



FY 2028 model, USDm	Amount
Product gross profit	10,531.7
Service gross profit	2,156.4
R&D	2,203.9
Sales and marketing	970.3
General and administrative	208.9
GAAP operating profit	9,305.0

Operating profit equals the two gross-profit streams minus the three expense streams. The model values this GAAP result, including SBC. A non-GAAP diagnostic is useful only to compare guidance; it does not become the valuation denominator.

The cost bridge includes manufacturing/silicon/memory and support through product/service cost of revenue. It also includes extra program engineering and the limited avoidable expense in the competitive-loss case. No net-cash credit is appended to the 20 x OP method. [M]

RULE16B / ONE ACTIVE OPERATING CASE

Price the breadcrumbs in both directions

The active case prices both opportunity and competitive loss

USD millions of incremental GAAP operating profit; same active four-quarter window



Active F4Q GAAP OP bridge	USDm
Reference operating profit	8,483.351
Scale-up	156.090
Scale-across	108.979
Physical-AI residual	18.304
Open-platform loss	-115.808
Net pricing	51.096
Acceptance shift	0.000
Active operating profit	8,702.012

Probabilities are ASTRA's subjective company-outcome judgments, not observed frequencies. The weighted residual enters revenue and operating costs before valuation. Base is thesis quality; it is not multiplied into operating inputs or the ceiling. [S01, M]

For a simple program: weighted incremental revenue=p x conditional revenue x (1-overlap). Costs and expenses then convert that revenue into profit. Correlated demand, speed transitions and customer spending are not counted as independent confirmations.

PROBABILITY LEDGER / SCALE-UP AND SCALE-ACROSS

Two operating expansions with explicit overlap

SU-20261007 / Custom-accelerator Ethernet scale-up / p=55%

Six engineering programs (midpoint of management 5-7 opportunities, not six independent customers) x modeled accepted system revenue of $100m/$300m/$600m/$1,000m per program in 2027/28/29/30. These are bounded portfolio-program invoices, not rack ASPs or customer awards. Half overlaps baseline custom-AI growth.

Year	Cond.rev.	Overlap	Active rev.	Prod.cost	Extra Opex	GAAP OP
2027	600	50%	165.0	79.2	24.8	61.0
2028	1,800	50%	495.0	227.7	74.2	193.1
2029	3,600	50%	990.0	445.5	148.5	396.0
2030	6,000	50%	1,650.0	742.5	247.5	660.0

Judgment: Specific management development hints and October product/partner engineering support a 55% judgment; exact program economics and acceptance remain unknown. **Raise:** By H2 2027 at least two named qualified programs and repeat accepted shipments; then consider 70%. **Reduce:** No qualified production by Q4 2027 or platform selection excludes Arista: reduce to 25% or remove affected program.

SA-20260922 / Additional scale-across capture / p=55%

2030 management switch/routing scope $15bn x 20% conditional incremental wallet = $3bn, phased $0.6/$1.2/$2.1/$3.0bn. Deduct 60% overlap with existing routing and AI baseline. Not the optics-inclusive $20bn and not incremental TAM added to capex.

Year	Cond.rev.	Overlap	Active rev.	Prod.cost	Extra Opex	GAAP OP
2027	600	60%	132.0	55.4	13.2	63.4
2028	1,200	60%	264.0	110.9	26.4	126.7
2029	2,100	60%	462.0	194.0	46.2	221.8
2030	3,000	60%	660.0	277.2	66.0	316.8

Judgment: Management sees a large scale-across role; REACH architecture is specific. Share, timing and customer procurement are not established, so 55% subjective probability. **Raise:** Named accepted REACH/scale-across deployments broaden beyond two customers; consider 65%. **Reduce:** Optical bypass or competing routers reduce switch wallet, or adoption misses two quarters: consider 30%.

Revenue/COGS/Opex/OP are USDm. The scale-across endpoint uses the $15bn switching/routing scope, not the broader optics-inclusive $20bn. Sources: S06, S07, S10, S15. Full per-quarter contributions: model.quarters[].contributions[].

PROBABILITY LEDGER / PHYSICAL AI AND COMPETITION

The expansion lens also prices a loss

PH2-20261015 / Physical-AI cloud/enterprise spillover / p=50%

Modeled additional enterprise/cloud networking program pool $0.2/$0.5/$1.0/$1.5bn for physical-AI workloads. 80% assumed already in reference compute/campus growth; only residual 20% receives phase-2 50% weight. It is not a claim that Arista sells robot or vehicle networking.

Year	Cond.rev.	Overlap	Active rev.	Prod.cost	Extra Opex	GAAP OP
2027	200	80%	20.0	7.6	3.6	8.8
2028	500	80%	50.0	19.0	9.0	22.0
2029	1,000	80%	100.0	38.0	18.0	44.0
2030	1,500	80%	150.0	57.0	27.0	66.0

Judgment: Physical-AI creates data-center traffic but edge-device capture is unproven; apply framework phase-2 50% only to bounded residual. **Raise:** Named customer physical-AI deployments create separately identified incremental ANET orders. **Reduce:** Workloads fit existing fabrics with no incremental network wallet: overlap rises to 100%.

COMP-20261012 / NVIDIA/FBOSS and open-platform displacement / p=40%

Conditional lost system revenue from a $0.8/$1.4/$2.2/$3.0bn at-risk pool; 50% already allowed for in baseline conservative wallet capture. Weighted net losses $0.16/$0.28/$0.44/$0.60bn, with avoided product costs and 8% variable selling/engineering expense.

Year	Cond.rev.	Overlap	Active rev.	Prod.cost	Extra Opex	GAAP OP
2027	-800	50%	-160.0	-72.0	-12.8	-75.2
2028	-1,400	50%	-280.0	-126.0	-22.4	-131.6
2029	-2,200	50%	-440.0	-198.0	-35.2	-206.8
2030	-3,000	50%	-600.0	-270.0	-48.0	-282.0

Judgment: Meta shipping and preview platforms demonstrate real open-NOS and alternative ASIC choices; loss magnitude remains unreported. 40% is a subjective company-share outcome, not probability Ethernet works. **Raise:** A named large Arista program is replaced, or hardware-only terms lower economics: increase loss probability to 60%. **Reduce:** Arista is named as billed platform supplier with repeat revenue despite FBOSS: reduce to 25%.

Phase 2 concerns the residual cloud/enterprise networking wallet, not sales into robots or vehicles. Phase 3 assigns 20% to an attempted $100m 2030 cloud-network proxy but 100% overlap makes its separate numerical contribution zero. A dated, separately identifiable wallet is needed to change that disposition. [S01, S12, S33, M]

PROBABILITY LEDGER / REPRICING AND ACCEPTANCE

Pricing is net of costs; timing is conserved

PRICE-20260804 / p=60% / eligible new or repriceable orders only

Model premium 2.5% x eligible product receipts x 60% probability. Deduct incremental COGS1.25% and commercial expense 0.10% of that same eligible wallet, also weighted 60%. This creates net OP 0.69% of eligible receipts. Fixed-price backlog does not reprice. The premium is a bounded assumption informed by management's modest price-increase remarks, not an official universal increase. [S06, S07, M]

Year	Eligible%	Wallet	Active rev.	Extra COGS	Extra Opex	Net OP
2026	0%	0.0	0.0	0.0	0.0	0.0
2027	35%	4,782.5	71.7	35.9	2.9	33.0
2028	50%	8,425.1	126.4	63.2	5.1	58.1
2029	55%	10,919.3	163.8	81.9	6.6	75.3
2030	60%	13,685.8	205.3	102.6	8.2	94.4

The 2026 eligible share is zero only for an EXTRA uplift above the anchored $12.6bn forecast. Existing late-year pricing/mix is already reflected in reference product gross margin. Raise the pricing probability on matched-mix realized improvement; reduce it to 25% and shrink eligibility if costs absorb the premium.

ACCEPT-20260505 / p=35% / one-quarter recognition shift

A $600m conditional cohort x 50% non-overlap x 35% risk = $105m weighted recognition delay. It moves from Q4 2027 to Q1 2028 with 58% gross margin and 8% variable expense, shifting $52.5m OP. Both quarters lie within the active Q4 2027 to Q3 2028 window, so that active-window contribution is zero even though calendar-year profit changes.

Quarter	Revenue shift	Product cost	VariableOpex	GAAP OP
Q4 2027	-105.0	-44.1	-8.4	-52.5
Q1 2028	+105.0	+44.1	+8.4	+52.5

Reassess acceptance against deferred-revenue conversion, evaluation inventory and supplier commitments at each result. This is a delay, not lifetime demand destruction and not extra backlog. [S03, S06, M]

PROBABILITY LEDGER / INCREMENTAL GAAP OP

Every weighted contribution has a quarter

Quarter	Scale-up	Scale-across	PhysicalAI	Comp.loss	Pricing	Accept.
Q3 2026	0.00	0.00	0.00	0.00	0.00	0.00
Q4 2026	0.00	0.00	0.00	0.00	0.00	0.00
Q1 2027	13.43	13.94	1.94	-16.54	7.26	0.00
Q2 2027	14.65	15.21	2.11	-18.05	7.92	0.00
Q3 2027	15.87	16.47	2.29	-19.55	8.58	0.00
Q4 2027	17.09	17.74	2.46	-21.06	9.24	-52.50
Q1 2028	42.47	27.88	4.84	-28.95	12.79	52.50
Q2 2028	46.33	30.41	5.28	-31.58	13.95	0.00
Q3 2028	50.19	32.95	5.72	-34.22	15.11	0.00
Q4 2028	54.05	35.48	6.16	-36.85	16.28	0.00
Q1 2029	87.12	48.79	9.68	-45.50	16.58	0.00
Q2 2029	95.04	53.22	10.56	-49.63	18.08	0.00
Q3 2029	102.96	57.66	11.44	-53.77	19.59	0.00
Q4 2029	110.88	62.09	12.32	-57.90	21.10	0.00
Q1 2030	145.20	69.70	14.52	-62.04	20.78	0.00
Q2 2030	158.40	76.03	15.84	-67.68	22.66	0.00
Q3 2030	171.60	82.37	17.16	-73.32	24.55	0.00
Q4 2030	184.80	88.70	18.48	-78.96	26.44	0.00

USDm. These signed amounts reconcile exactly to activeOP-referenceOP for every quarter. They are not additional targets and they do not receive another Base or probability haircut at the ceiling. Read p, costs, overlap and triggers beside the preceding ledger sections.

Exact calculation locations

ANET_Probability!F6:F11 controls the six probabilities; G6:G11 controls overlap. Its C40:W147 matrix holds quarterly signal detail: revenue in J, OP in Q. ANET_Q_Model!S8:S25 contains quarterly GAAP OP and U8:U25 shares. Active F4Q OP/multiple/shares/ceiling are ANET_Q_Model!F36/H36/I36/J36. Customer bridge: ANET_Drivers!C27:M32. JSON quarters[quarter].contributions[signalID] preserves the same full cost fields.

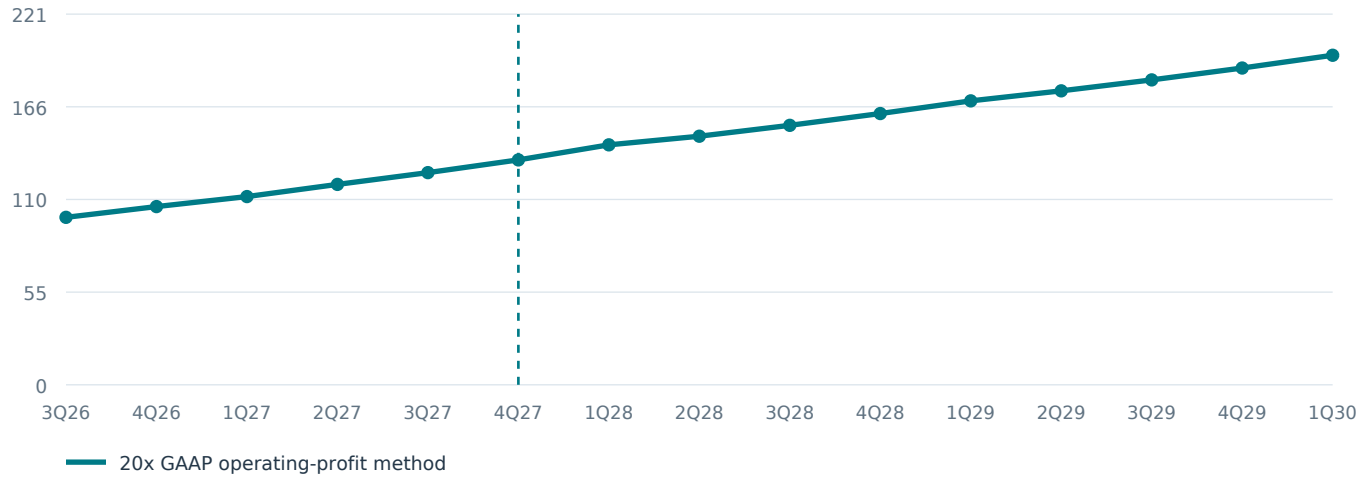
Zero independent additions: deferred revenue/RPO already reflected; lease classification is not a demand cut; unverified HSBC original adds no separate source; Meta IceCube/Tahan is not an Arista award. Unknown evidence remains unknown. [M]

VALUATION / 15 ROLLING FOUR-QUARTER CEILINGS

The ceiling prices a moving earnings window

Rolling forward-four-quarter ceiling path

USD per diluted share; each point prices its own exact four-quarter window



Ceiling Q	Exact window	F4Q OP	Avg diluted	Multiple	USD/share
Q3 2026	3Q26 to 2Q27	6,406.96	1,283.408	20x	99.8430
Q4 2026	4Q26 to 3Q27	6,833.66	1,286.319	20x	106.2514
Q1 2027	1Q27 to 4Q27	7,233.91	1,289.203	20x	112.2230
Q2 2027	2Q27 to 1Q28	7,718.95	1,292.094	20x	119.4798
Q3 2027	3Q27 to 2Q28	8,190.82	1,294.992	20x	126.5000
Q4 2027	4Q27 to 3Q28	8,702.01	1,297.896	20x	134.0942
Q1 2028	1Q28 to 4Q28	9,305.02	1,300.806	20x	143.0655
Q2 2028	2Q28 to 1Q29	9,661.07	1,303.723	20x	148.2074
Q3 2028	3Q28 to 2Q29	10,106.76	1,306.647	20x	154.6977
Q4 2028	4Q28 to 3Q29	10,589.59	1,309.577	20x	161.7254
Q1 2029	1Q29 to 4Q29	11,109.56	1,312.513	20x	169.2869
Q2 2029	2Q29 to 1Q30	11,527.64	1,315.456	20x	175.2645
Q3 2029	3Q29 to 2Q30	11,983.73	1,318.406	20x	181.7911
Q4 2029	4Q29 to 3Q30	12,477.82	1,321.363	20x	188.8629
Q1 2030	1Q30 to 4Q30	13,009.92	1,324.326	20x	196.4761

Each exact window includes the ceiling quarter and the next three calendar quarters. The active selection is Q4 2027 during October-December 2026. A future horizon roll changes selection, not operating forecasts. The model extends through Q4 2030 to support all 15priced windows. [S01, M]

VALUATION / ACTIVE DERIVATION AND DIAGNOSTICS

One method, with visible sensitivities

Priced quarter	Revenue	GAAP OP	Diluted shares
Q4 2027	4,397.599	1,987.695	1,293.538000
Q1 2028	4,534.804	2,088.055	1,296.438689
Q2 2028	4,832.514	2,220.606	1,299.345883
Q3 2028	5,235.223	2,405.656	1,302.259595

AH-1 chain: Sum of GAAP OP = 8,702.012005516m; average diluted shares = 1,297.895541707m. Ceiling = OP x 20 / shares = **$134.094181325**. ANET uses 20x GAAP forward-four-quarter operating profit divided by the average diluted shares in that same window. Stock compensation is included; no automatic cash addition.

Diagnostic, other controls fixed	Ceiling USD/share
Both named-customer post-2026 capex budgets -20%	122.7714
Both named-customer post-2026 capex budgets +20%	145.4169
All-customer reference recognition/capture -10%	120.9430
All-customer reference recognition/capture +10%	147.2454
Uncertain 26%/16% customer mapping cases	133.9715-134.2134
Zero scale-up contribution	131.6889
Zero incremental pricing	133.3068

Demand sensitivities recompute all affected quarterly revenue, product/service profit, costs and eligible pricing. They are diagnostics, not alternate active forecasts, probabilities or confidence intervals. The breadth of the reference capture assumption matters more than reversing the uncertain customer-name mapping. [M]

Reference-only active ceiling is $130.724708756; the six signals add net $218.661171m forward OP before 20 x valuation. Every comparator uses the same quarter, currency, split basis and diluted-share convention.

TAM EXPANSION / ANNUAL2027-2030 MODEL

Long-run size is a cross-check

Year Model	Revenue	Product rev.	Service rev.	GAAP OP	OP margin
2027	15,975.7	13,788.1	2,187.6	7,233.9	45.28%
2028	20,240.5	17,610.7	2,629.8	9,305.0	45.97%
2029	24,095.6	21,129.0	2,966.6	11,109.6	46.11%
2030	28,283.3	24,875.0	3,408.3	13,009.9	46.00%

The model reaches $28.3 billion revenue in 2030, with the reference base providing most of the scale. That is a conditional analytical operating path, not post 2026 company guidance. Scale-up program invoices and scale-across capture remain LOW-confidence assumptions with explicit costs and timing.

Match market definitions before using the headline

Dell'Oro's July 28 public release projects roughly $1 trillion of AI back-end switch sales CUMULATIVELY over 2026-2030; it is not a 2030 annual market. Its September 3 release reports back-end revenue surpassing front-end in Q2 2026, with Celestica, Nvidia, Arista and Cisco in the reported order. Broader networking growth does not guarantee stable Arista share. Paid underlying reports were not inspected. [S29, S30]

Management's 2030 scale-across switching/routing scope is approximately $15bn; optics can broaden it toward $20bn. The incremental ledger uses the narrower scope. The global optical-module TAM, customer capex and Arista invoice are different layers, so none is added to the reference revenue merely because it is large. [S07, M]

Capital and balance-sheet capacity

June 30 cash+securities total $13.3433bn, with no funded debt line identified. This provides resilience, while $9.7bn NCNR supplier commitments and product-acceptance exposure constrain how much liquidity is economically unencumbered. Deferred revenue is not all customer cash prepayment. The 20 x OP method does not add net cash by default. [S03]

Leadership combines Jayshree Ullal, Chairperson and CEO; Todd Nightingale, President and COO; Ken Duda, President, CTO and founder; and Andy Bechtolsheim, founder and Chief Architect. Execution continuity and customer engineering are strengths. They do not establish exclusive ownership of Ethernet or merchant silicon. No unverified ownership percentage is assumed. [S34]

SCORING / CROSS-BOOK AND FOUR RISK CLASSES

A strong company is not an exclusive bottleneck

Category	Points	Evidence and implication
Core Thesis	15/20	EOS, telemetry, operations tooling and qualified systems create switching costs, but merchant ASICs and open NOS prevent sole-source or physics-monopoly status.
Cycle Stage	8/10	800G production and 1.6T trials/ramp sustain an expanding S-curve; long acceptance and customer concentration constrain visibility.
TAM Expansion	7/10	Scale-out/across/up plus campus broaden a networking platform. Physical-AI cloud spillover is weighted 50%; edge/space/quantum direct capture is unproven and not treated as universal primitive.
Catalysts	4/5	November 3 Q3 results, Q4 2026/Q1 2027 1.6T availability, 2027 qualified scale-up and price realization.
Macro	9/10	Accelerating AI infrastructure and distributed inference need more bandwidth, subject to power/site economics and customer funding.
Alpha	2/5	Widely followed large company; the edge must come from acceptance, open-NOS economics and incremental capture, not a generic Ethernet thesis.
Risks	-4	Four independent penalties: concentrated customer/acceptance timing; NVIDIA/open-platform share; supplier commitments/component cost; deployment/capex cyclicality. Strong liquidity limits balance-sheet penalty.
Total	41/60	Analytical Base 68%; Watchlist. Base is distinct from each signal probability.

Four separately scored risks: -1 point each

Customer/acceptance: concentrated wallets and long qualification can defer or reverse revenue.
Competition/open platforms: Nvidia integration, Cisco, customer NOS and white-box alternatives contest capture.
Supply/cost commitments: limited-source chips, memory inflation andNCNR supplier obligations can hurt margins.
Deployment/capex cycle: power, facilities, funding and utilization can slow the spending-to-revenue chain.

Cross-book pair	Watch the common economics once
ANET / AVGO / CLS	Merchant ASIC/system content; Broadcom input is embedded in system COGS, while white-box systems can compete.
ANET / NVDA / AMD / ARM / MRVL	Accelerator/transport choice shapes the networking wallet; custom AI is not proof Arista wins.
ANET / MSFT / META / ORCL / CRWV / NBIS	Customer deployment, acceptance, sites and finance govern recognized network receipts.
ANET / LITE / COHR / FN / CIEN	Optics and transport can enable or substitute parts of the architecture; do not add end-to-end wallets.

CATALYSTS / PRE-COMMITTED TESTS

What would change the thesis

Date / cadence	Positive evidence	Counter-evidence
November 3,2026 Q3report	Revenue/GAAP costs reconcile; acceptance converts	Deferred product/revenue costs stall; returns or mix pressure
Q4 2026 to Q1 2027	7060XE7 air/liquid availability met	Two-quarter qualification delay or cost overrun
H2 2027	Named repeat accepted custom scale-up programs	No qualified production by Q4 2027
Each customer platform cycle	Arista named billable systems supplier across NOS choices	Replacement in the same customer role; less software attach
Each quarter	Realized net pricing after matched-mix costs	Silicon/memory/expedite inflation consumes premium
Each capex update	Deployment and funding support the matched network wallet	Sites/power/acceptance lag; apparent lease reclassification misread

Evidence boundaries that remain explicit

No realized 7060XE7ASP, SU-144rack ASP or committed customer minimum was established. No Arista award is assigned to Meta IceCube/Tahan. Post 2026 budgets, wallet capture, acceptance and program economics remain model assumptions. The two large 2025 customer percentages are unnamed in the filing; exact name mapping is only tested, not asserted.

The last two earnings-call management discussions were read through public third-party transcriptions and crosschecked to issuer facts; official audio was not listened to. Rehosting is not independent confirmation. Some Arista www raw assets returned client-challenge HTML; supported web reads and successful official blog/deck originals are distinguished. No HSBC original note is claimed as inspected.

The active case already includes credible forward signals with numerical weights. A missing contract is not by itself a zero. A duplicate wallet, unsupported billed supplier identification, or a fully overlapped proxy is a reasoned zero. [S01, M]

SOURCE CATALOG / FACTS, FORECASTS AND ASSUMPTIONS

Sources and provenance

S01 / Framework v 8.0, October 1, 2026 current revision
Local verified framework; SHA256 0dbf 5930742cc 570b 069223c 8e 053ba 0a 6cc 7a 50463a 3926496548e 146755c 5f

S02 / Arista FY 2025 Form 10-K, filed February 17, 2026
https://www.sec.gov/Archives/edgar/data/1596532/000159653226000013/anet-20251231.htm

S03 / Arista Q2 2026 Form 10-Q, filed August 5, 2026
https://www.sec.gov/Archives/edgar/data/1596532/000159653226000175/anet-20260630.htm

S04 / Arista Q2 2026 results, August 4, 2026
https://investors.arista.com/Communications/Press-Releases-and-Events/Press-Release-Detail/2026/Arista-Networks-Inc--Reports-Second-Quarter-2026-Financial-Results/default.aspx

S05 / Arista Q1 2026 results, May 5, 2026
https://investors.arista.com/Communications/Press-Releases-and-Events/Press-Release-Detail/2026/Arista-Networks-Inc--Reports-First-Quarter-2026-Financial-Results/default.aspx

S06 / May 5, 2026 management call; third-party transcription
https://www.roic.ai/quote/0HHR.L/transcripts/2026-year/1-quarter

S07 / August 4, 2026 management call; host published August 11
https://www.fool.com/earnings/call-transcripts/2026/08/11/arista-anet-q2-2026-earnings-call-transcript/

S08 / Arista 7060XE7 release, June 9, 2026
https://www.arista.com/en/company/news/press-release/24102-pr-20260609

S09 / Arista rack-scale architectures release, October 7, 2026
https://www.arista.com/en/company/news/press-release/24818-pr-20261007

S10 / Arista scale-up technical blog, October 7, 2026
https://blogs.arista.com/blog/next-gen-scale-up-networking-for-ai-fabrics

S11 / Named partner statements for October 7 architecture announcement
https://solutions.arista.com/rack-scale-architectures-for-scale-up-and-scale-out-ai-fabrics-quotes

S12 / Meta OCP engineering update, October 12, 2026
https://engineering.fb.com/2026/10/12/open-source/ocp-summit-2026-powering-ai-with-open-innovations-in-scale-up-scale-out-and-scale-across-networks/

S13 / UltraEthernet Specification 1.1 release, October 12, 2026
https://ultraethernet.org/ultra-ethernet-consortium-releases-specification-1-1-advancing-ai-and-hpc-networking/

S14 / Arista XPO technical blog, March 11, 2026
https://blogs.arista.com/blog/ai-datacenters-are-reshaping-the-optics-industry

S15 / Arista REACH scale-across blog, September 22, 2026
https://blogs.arista.com/blog/the-next-frontier-for-ai-fabrics-scale-across-networking

S16 / Arista AVD maintained source repository; read October 15, 2026
https://github.com/aristanetworks/avd

S17 / Arista software licensing framework
https://www.arista.com/assets/data/pdf/Software-Licensing-Framework.pdf

SOURCE CATALOG / FACTS, FORECASTS AND ASSUMPTIONS

Sources and calculation snapshot

S18 / Arista investor presentation, February 12, 2026
https://s21.q4cdn.com/861911615/files/doc_presentations/2026/Feb/12/ANET_Investor_Presentation_Q425.pdf

S19 / Nvidia and Meta partnership, February 17, 2026
https://nvidianews.nvidia.com/news/meta-builds-ai-infrastructure-with-nvidia

S20 / Nvidia Spectrum-X Photonics production statement, May 31, 2026
https://nvidianews.nvidia.com/news/vera-rubin-full-production-agentic-ai-factory

S21 / Cisco OCP product/customer update, October 12, 2026
https://newsroom.cisco.com/c/r/newsroom/en/us/a/y2026/m10/cisco-advances-scalability-and-openness-at-ocp-2026.html?source=rss

S22 / HPE/JuniperQFX5240 product documentation
https://www.juniper.net/gb/en/products/switches/qfx-series/qfx5240-line-of-switches-datasheet.html

S23 / Morgan Stanley/AlphaWise 3Q26 CIO survey, October 12, 2026; original pp 84/87
Owner-supplied original retained in ASTRA_Research_Archive; n=60 for campus and datacenter intentions; n=62 printed for refresh-cycle exhibit.

S24 / Microsoft FY2026 Q4 management call, July 29, 2026
https://www.microsoft.com/en-us/investor/events/fy-2026/earnings-fy-2026-q4

S25 / Microsoft FY2026 Q4 statements; cash PP&E
https://www.microsoft.com/en-us/investor/earnings/fy-2026-q4/press-release-webcast

S26 / Microsoft FY2026 Q2 statements; Jul-Dec cash PP&E
https://www.microsoft.com/en-us/investor/earnings/fy-2026-q2/press-release-webcast

S27 / Meta FY 2025 results; capex including finance-lease principal
https://investor.atmeta.com/investor-news/press-release-details/2026/Meta-Reports-Fourth-Quarter-and-Full-Year-2025-Results/

S28 / Meta Q2 2026 results; current capex range
https://investor.atmeta.com/investor-news/press-release-details/2026/Meta-Reports-Second-Quarter-2026-Results/

S29 / Dell'Oro AI back-end forecast, July 28, 2026
https://www.delloro.com/news/ai-back-end-switch-sales-to-approach-1-trillion-over-the-next-five-years/

S30 / Dell'Oro Q2 2026 back-end release, September 3, 2026
https://www.delloro.com/news/ai-back-end-networks-switch-sales-surpass-front-end-networks-for-the-first-time-in-2q2026/

S31 / Price snapshot and dated-share calculation
https://stockanalysis.com/stocks/anet/history/ ; crosscheck https://www.tallacoptions.com/Data/EOD/ANET

S32 / Meta identifies 7700R4DSF, October 15, 2024
https://engineering.fb.com/2024/10/15/data-infrastructure/open-future-networking-hardware-ai-ocp-2024-meta/

S33 / Arista fabric roles, May 12, 2026
https://blogs.arista.com/blog/the-many-facets-of-ai-fabrics

S34 / Arista current management team; verified October 15, 2026
https://www.arista.com/en/company/management-team

M / shared calculation source

ANET_AristaNetworks_Model.json / run ANET-DEEPDIVE-20261015. Units: USD millions; diluted shares millions; ceilingUSD/share. Exact model SHA256:
8e23b07937050117644fa5092b5c887d4fd6e4cfdfb877f3dbf844251c7f934c

Operating forecast: 18 quarters Q3 2026-Q4 2030. Ceiling path: 15 quarters Q3 2026-Q1 2030. Active Q4 2027 prices Q4 2027-Q3 2028. All analytical charts/tables derive from this snapshot; chart_data.json preserves the plotted values. Prior versions belong outside the clean-state artifact.

Original CIO survey SHA256:eb6b80157f4f580e4fd761a35c6e815bfa8195e1617fe03e54a5c95306b445b4. Original technical images retain source-to-image mapping and hashes in the evidence pack. PDF and embedded-image Markdown are self-contained for reading.